Tesla

TSLA • NASDAQ Global Select • Auto - Manufacturers • United States

COMPANY PROFILE

Tesla designs and manufactures electric vehicles, energy-storage systems, charging and power electronics, and software-enabled mobility products. Its operating footprint includes vehicle factories, battery and grid-storage plants, a direct sales and service network, autonomous-driving development, Robotaxi operations and early-stage humanoid robotics. Automotive remains the principal reported revenue source, while energy storage is the faster-growing profit pool.

RECOMMENDATION	CURRENT PRICE	TARGET PRICE
SELL	339.99 USD	136.40 USD
12-month horizon	as of report date	12-month fundamental

IMPLIED UPSIDE	MARKET CAP	ENTERPRISE VALUE
–59.9%	USD 1,270 bn	USD 1,277.2 bn
vs. current price	shares × price	mcap + EV adjustments

P/E 2026E	EV/EBITDA 2026E	FCF YIELD 2026E	DIVIDEND YIELD 2026E	NET DEBT / EBITDA 2026E
267.9×	76.9×	-0.4%	—	-0.2×

RESEARCH SNAPSHOT

02 The call, the math, and the three reasons why

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION	TARGET PRICE	CURRENT PRICE	IMPLIED UPSIDE
SELL 12-month horizon	**136.40 USD** 12-month fundamental	**339.99 USD** as of report date	**−59.9%** vs. current price

MARKET CAP	ENTERPRISE VALUE	P/E · EV/EBITDA 2026E	FCF · DIV YIELD 2026E
USD 1,270 bn shares × price	**USD 1,277.2 bn** mcap + EV adjustments	**267.9× · 76.9×** history + peers, see p. 18–19	**-0.4% · —**

01 The market prices a software margin structure

The reverse valuation requires terminal EBIT margin of 43.2%, versus the authoritative 2026 forecast of 5.4%. That gap is too large to be explained by ordinary vehicle scale or battery-cost improvement alone.

`43.2% terminal implied EBIT margin`

02 Energy is valuable but cannot carry the group

Energy contributed 22.2% of FY2025 reported gross profit from 13.5% of revenue. Even a premium 7.0x forward sales multiple produces only USD 100.1 billion of division enterprise value in the target bridge.

`22.2% of FY2025 gross profit`

03 Autonomy has evidence, not yet economic proof

Robotaxi mileage and limited permits establish technical progress, but active-user share, California permissions and disclosed ride-level margins remain insufficient to support a dominant platform valuation.

`6% US robotaxi MAU share`

THESIS BREAKER

Broad driverless approval plus sustained positive Robotaxi unit economics and rising active-user share would invalidate the SELL thesis.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.

Share price — last 36 months

USD per share, with 12-month target line

CURRENT PRICE **339.99 USD** 14 August 2026	TARGET PRICE **136.40 USD** 12-month	IMPLIED UPSIDE **−59.9%** vs. current	52-WEEK HIGH **498.83 USD** past 12m
52-WEEK LOW **297.38 USD** past 12m	1-YEAR CHANGE **+1.7%** price only	3-YEAR CHANGE **+42.3%** price only	REPORT DATE **14 August 2026**

READING THE MOVE

The source data does not provide an auditable daily share-price series, so the path of the share price cannot be attributed precisely. Supported operating signals include Q2 2026 record revenue alongside a profit miss, pressure on automotive margins and accelerating storage deployment. The controlled price of USD 339.99 remains far above the USD 136.39 target derived from the division economics.

VALUE BREAKDOWN · PART 1

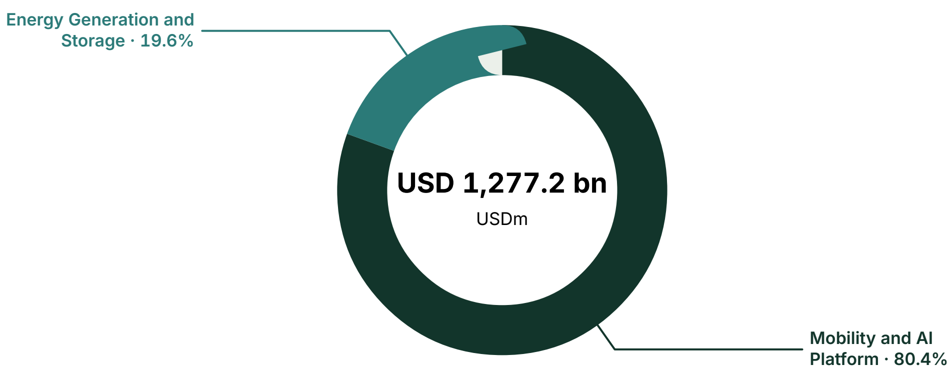
Enterprise-value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

USD millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise-value allocation against reported economics. “Reported” rows match a verified company-reported segment; “Modelled allocation” rows are model-side splits. This issuer discloses segment gross profit but not segment EBIT, so the absolute profit column is verified gross profit while the share column is the model’s estimate of each division’s share of group EBIT. Business divisions may differ from company-reported accounting segments.

	EV	EV %	REVENUE	REV %	GROSS PROFIT	EBIT SHARE OF TOTAL (EST.)	BASIS
Mobility and AI Platform	1,027,190	80.4%	82,056	86.5%	13,292	75.0%	Modelled allocation
Energy Generation and Storage	250,056	19.6%	12,771	13.5%	3,802	25.0%	Reported
Total	**1,277,246**	**100.0%**	**94,827**	**100.0%**	**17,094**	**100.0%**	—

VALUE BREAKDOWN · PART 2

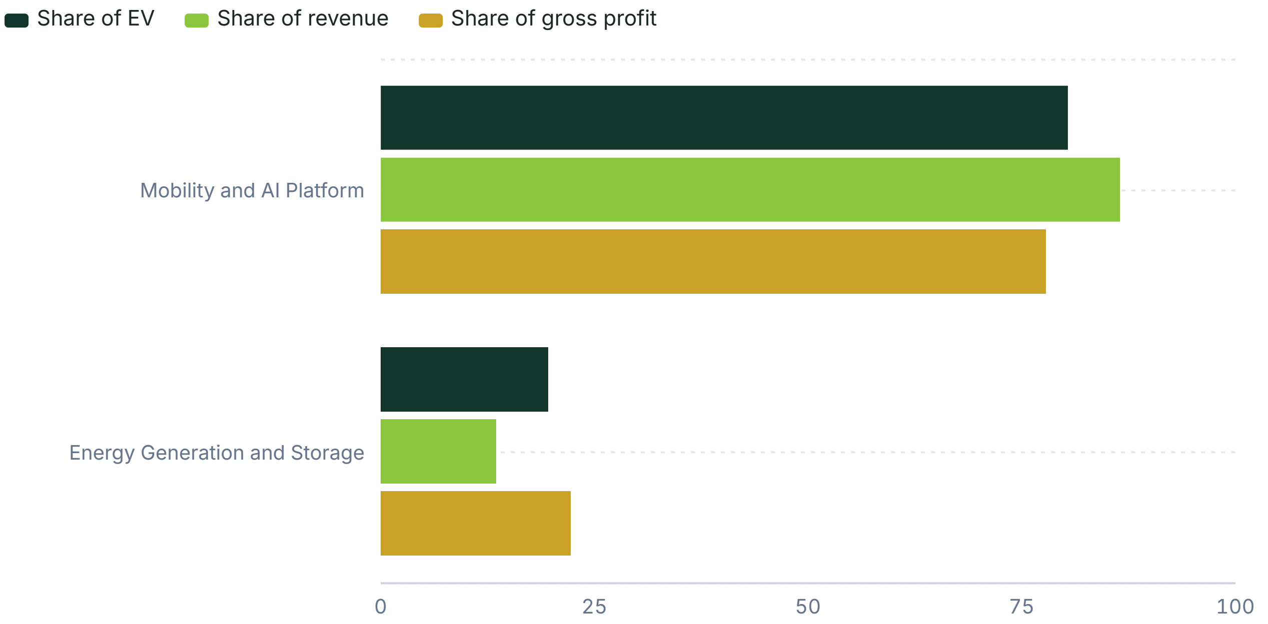
Where value sits versus where money is earned

05

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



INTERPRETATION

Approximately four-fifths of current enterprise value is allocated to Mobility and AI because vehicle scale supplies the customer base, data and capital base for FSD, Robotaxi and Optimus. Energy accounts for the remaining one-fifth despite only 13.5% of FY2025 revenue, reflecting its higher gross margin and faster deployment growth. Both allocations describe what the market is capitalizing; the target valuation applies materially lower, evidence-based multiples.

RECOMMENDATION

Why we land on the call we do

06

How the assembled evidence adds up to the call: what the price assumes, what the clues say, and what would change our view. The decision summary and the three headline reasons are on the snapshot page.

SELL. The 12-month target price is USD 136.4, implying 59.9% downside from the current price of USD 339.99.

The market-implied model requires EBIT margin to rise from 5.4% in 2026 to 43.2% in the terminal period, while revenue reaches USD 180.7 billion. It also requires 2026 EBIT of USD 22.6 billion, almost four times the authoritative forecast of USD 5.7 billion. That is a software-platform return profile applied to a group whose 2025 revenue was 86.5% Automotive and whose 2026 capital expenditure forecast is USD 19.4 billion. The implied path is possible only if autonomy, recurring software and robotics become economically dominant without displacing the cash generation needed to finance them.

The evidence is not uniformly bearish. Tesla retained a 13% global passenger BEV share in Q1 2026 according to Counterpoint Research on 28 May 2026, and Q2 storage deployments reached 13.5 GWh according to Tesla and the SEC on 22 July 2026. Robotaxi also accumulated nearly 2.5 million paid miles by Q2 2026 according to Tesla on 22 July 2026. Against that, automotive gross margin excluding credits fell to 16.3% in Q2, Tesla's own reported figure cited on 22 July 2026, while its July China retail volume fell to 27,249 units according to CnEVPost on 13 August 2026. Those signals support real strategic assets but not the speed or certainty of the market-implied margin transition.

The strongest argument against SELL is that conventional vehicle and storage multiples may miss a winner-takes-most autonomy platform. Tesla reported more than 380,000 unsupervised Robotaxi miles across six cities by July 2026, and Texas permits supervised and unsupervised operations. This does not change the call because Tesla held only 6% of US robotaxi monthly active users in June 2026, versus Waymo at 69%, according to Apptopia via CleanTechnica on 8 July 2026, and California still lacked the permits needed for driverless commercial deployment. A sustained autonomous fleet with regulatory approval in California, materially higher active-user share and audited positive unit contribution would move the valuation upward; automotive EBIT deterioration, storage warranty recurrence or continued negative free cash flow would move it downward.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

Enterprise value forms in two economically different places. Mobility and AI receives USD 1.03 trillion because its USD 82.1 billion of FY2025 reported Automotive revenue anchors an installed product and manufacturing platform from which autonomy, subscriptions, Robotaxi and robotics could emerge. The decisive number is not vehicle volume alone but the gap between the authoritative 5.4% 2026 group EBIT margin and the market-implied 21.3%.

Energy receives USD 250.1 billion because it generated 22.2% of FY2025 reported gross profit from 13.5% of revenue. Its decisive number is delivered GWh at normalized gross margin: Q2 2026 reached 13.5 GWh, but margin fell to 20.4% after a USD 240 million warranty charge. This pool can compound into a major profit contributor, yet its current allocated value still discounts extensive utilization of the estimated 133 GWh capacity.

The target bridge values Mobility and AI at 4.5x estimated FY2026 sales and Energy at 7.0x. Those multiples produce a SOTP price of USD 127.84 before cross-check weighting. A peer EV/Sales method and a forward P/BV method raise the weighted target to USD 136.39, still well below the current price because near-term returns do not validate the market-implied terminal margin.

ANALYTICAL ANCHOR

The valuation debate is principally a margin-conversion debate: Tesla does not need heroic near-term revenue to justify the current price, but it does need heroic profit conversion.

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Mobility and AI Platform

Business division deep dive — Current profit engine with platform options.

WHY THE MARKET VALUES IT

The Mobility and AI Platform combines the existing automotive profit engine with the economic options embedded in FSD subscriptions, Robotaxi, Cybercab manufacturing and Optimus. The reported Automotive segment generated USD 82.1 billion of FY2025 external sales and USD 13.3 billion of gross profit, equal to 86.5% and 77.8% of the respective group totals. On its own, that is a scaled manufacturer with meaningful gross profit but only moderate conversion into group EBIT, which was USD 4.4 billion in 2025. The market instead assigns value to the possibility that a large installed vehicle fleet becomes a recurring software and autonomous-mobility network. Our current enterprise-value allocation of USD 1.03 trillion therefore describes where the quoted valuation forms, not what conventional manufacturing economics alone justify.

The current allocation equals approximately 12.5 times FY2025 Automotive revenue, a level that requires software-like incremental margins or very long growth duration. Tesla's authoritative group forecast reaches USD 105.9 billion of revenue and USD 5.7 billion of EBIT in 2026, leaving only a 5.4% EBIT margin despite higher depreciation and substantial investment. By contrast, the reverse valuation requires 2026 EBIT of USD 22.6 billion and a 21.3% margin, followed by a terminal 43.2% margin. This makes the division's valuation less sensitive to another year of vehicle deliveries than to proof that autonomy and software can change the profit architecture. The investment case breaks if those options remain product features that support vehicle demand rather than separate high-return platforms.

MARKET STRUCTURE AND DEMAND

The underlying BEV market remains large and competitive rather than monopolistic. Counterpoint Research estimated Tesla at 13% of global passenger BEV sales in Q1 2026, ahead of BYD at 11% and Geely at approximately 10%, on 28 May 2026. Annual volume tells a less favorable story: BYD delivered 2.26 million battery-only vehicles in 2025, while Tesla delivered 1.64 million, according to Statista/INDmoney and INDmoney respectively. Tesla retained approximately 52% of the US EV market in H1 2026 according to INDmoney on 12 August 2026, but its US share had already fallen below half in Q2 2024 before later recovering. The demand opportunity is therefore expanding, yet the evidence does not establish that Tesla can hold its historical share without pricing support and model renewal.

MOBILITY AND AI PLATFORM FACT SHEET

CURRENT PROFIT ENGINE WITH PLATFORM OPTIONS

MODEL ESTIMATE REVENUE	**USD 82,056m**
MODEL ESTIMATE GROSS PROFIT	**USD 13,292m**
FY2025 GROSS MARGIN	**16.2% reported segment gross profit/revenue**
Q2 2026 VEHICLE ASP	**$42,730 per vehicle**
Q2 2026 AUTO MARGIN EX CREDITS	**16.3%**
2025 DELIVERIES	**1.64m BEVs**
INSTALLED VEHICLE CAPACITY	**>2.375m vehicles/year**
GLOBAL PASSENGER BEV SHARE	**13% in Q1 2026**
ROBOTAXI COMMERCIAL FOOTPRINT	**Texas TNC; Nevada limited to 10 vehicles**
CURRENT EV ALLOCATION	**$1,027.2bn; 12.5x FY2025 revenue**

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Mobility and AI Platform (continued)

Business division deep dive — Current profit engine with platform options.

Regional competition matters because Tesla's fixed manufacturing base is geographically distributed while product cycles and pricing are local. BEVs represented 20.7% of EU new-car registrations in H1 2026 according to ACEA on 23 July 2026, but Volkswagen Group had led EU BEV registrations with an 18.2% share in H1 2025 according to ACEA data reported by Motor Finance Online. In China, BYD held 23.5% of passenger NEV retail sales in July 2026, while Tesla's retail volume was 27,249 units and outside the top ten, according to CnEVPost on 13 August 2026. Giga Shanghai partly offset that weakness by exporting a record 66,330 units in July, up 143.3% year over year, according to EV on 14 August 2026. Exports protect factory throughput, but they can also transfer pricing pressure into other regions rather than eliminate it.

COMPETITIVE POSITION

Tesla's strongest automotive advantages remain manufacturing scale, brand awareness, direct distribution, charging integration and a common software architecture. Installed annual capacity exceeded 2,375,000 vehicles across five major sites according to autoevolution on 30 July 2026, creating the ability to grow without immediately replicating the full production network. Utilization is the counterweight: Giga Berlin produced 61,000 units against quarterly capacity of 93,750 in Q1 2026, approximately 65%, according to Electrek on 23 April 2026. Capacity that runs below design volume depresses fixed-cost absorption and weakens the benefit of manufacturing learning. Current utilization for Shanghai and Texas is not available in the source data, preventing a complete factory-level margin bridge.

China illustrates how quickly product and ecosystem competition can erode an incumbent lead. Xiaomi delivered 258,164 SU7 sedans in 2025 against 200,361 Tesla Model 3 units, a 29% advantage using the same volumes reported by Electrek and 36Kr on 26–27 January 2026. The base SU7 was priced RMB 19,600 below the Model 3 in January 2026, and July SU7 deliveries were reportedly ten times Model 3 domestic retail volume. Xiaomi's 2025 EV gross margin reached 24.3% according to CnEVPost on 24 March 2026, above Tesla's 16.3% Q2 2026 automotive margin excluding credits. Tesla's Model Y remained stronger, exceeding 180,000 China deliveries in H1 2026 according to TNW on 12 August 2026, but the evidence shows that neither software integration nor brand alone prevents share loss.

MOBILITY AND AI PLATFORM FACT SHEET

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Mobility and AI Platform (continued)

Business division deep dive — Current profit engine with platform options.

- Tesla: 13% global passenger BEV share in Q1 2026; Counterpoint Research, 28 May 2026.
- BYD: 11% global passenger BEV share in Q1 2026 and 2.26m 2025 BEV deliveries; Counterpoint Research and Statista/INDmoney.
- Geely Holding: approximately 10% global passenger BEV share in Q1 2026; Counterpoint Research, 28 May 2026.
- Xiaomi: 258,164 SU7 deliveries in 2025 and 24.3% EV gross margin; Electrek and CnEVPost, January–March 2026.

UNIT ECONOMICS

Tesla's Q2 2026 average automotive revenue per vehicle declined to USD 42,730 from USD 45,345 a year earlier, according to BigGo Finance on 24 July 2026. Automotive gross margin excluding regulatory credits was 16.3%, down from 19.2% in the previous quarter, according to Tesla's reported figure cited on 22 July 2026. Applying that margin to the disclosed ASP implies roughly USD 6,965 of gross profit per vehicle before the costs below gross profit, although product mix makes this an analytical approximation rather than a reported unit figure. The corresponding implied cost is approximately USD 35,765, close to the USD 35,106 production-cost figure reported for Q3 2024 by Forbes/I/O Fund on 24 October 2024. This confirms that manufacturing cost progress has been real, but price reductions can transfer that progress to customers rather than shareholders.

Peer economics show that scale does not guarantee one uniform margin outcome. BYD's average revenue per car over 2023–2025 was USD 22,262 and its 2025 gross profit per vehicle was USD 2,557, according to the Tesla versus BYD Comparison Report dated 16 May 2026. Xiaomi combined an approximately USD 36,500 ASP with a 24.3% 2025 gross margin, according to ArenaEV and CnEVPost on 24 March 2026. At the other extreme, Ford Model e lost USD 32,821 for every vehicle wholesaled in Q2 2026, according to Ford data reported by International Finance on 28 July 2026. Tesla sits well above structurally loss-making legacy EV programs, but the relevant valuation question is whether its advantage can widen enough to support a platform multiple rather than merely remain positive.

MOBILITY AND AI PLATFORM FACT SHEET

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Mobility and AI Platform (continued)

Business division deep dive — Current profit engine with platform options.

ECONOMICS BRIDGE

The first bridge from manufacturing to platform economics is lower capital and assembly intensity. Tesla's Unboxed process entered reported volume production at Gigafactory Texas in April 2026, after a February pilot unit, according to Green Drive on 3 April 2026. Early reports attributed a 40% reduction in factory footprint and a 30% reduction in labor cost to the process, according to BASENOR and Markman's Substack/Forbes in April 2026, while the Cybercab platform was described as having roughly half the Model 3 part count. Installed Cybercab capacity was listed above 125,000 units annually in the Q2 shareholder materials reported by EV News on 22 July 2026. These are strategically important signals, but audited production cost, yield and utilization evidence is not available in the source data.

The second bridge is recurring software and autonomous utilization. New vehicles delivered after 14 February 2026 moved to a USD 99 monthly FSD subscription model, according to TECHi on 11 April 2026. A recurring subscription can raise lifetime gross profit without equivalent manufacturing capital, but the source data does not provide the number of paying subscribers, churn or deferred-revenue conversion. Robotaxi potentially adds both fleet revenue and a network take rate, but it also introduces vehicle ownership, cleaning, maintenance, insurance, charging and remote-assistance costs. Tesla targets a fully considered Cybercab operating cost of USD 0.20 per mile by 2030 according to Teslarati on 22 January 2026, while the audited realized cost is not available.

GAP TO REQUIRED ECONOMICS

The market-implied model exposes the scale of the gap more clearly than a conventional multiple comparison. It requires group EBITDA of USD 33.5 billion in 2026 versus the authoritative forecast of USD 16.6 billion, and EBIT of USD 22.6 billion versus USD 5.7 billion. By 2028, implied EBIT reaches USD 54 billion and a 37.5% margin, compared with the authoritative forecast of USD 10 billion and 6.9%. Revenue is unchanged between the market-implied and authoritative near-term cases, so nearly all of the valuation burden falls on margin rather than additional sales. That means vehicle pricing, autonomy monetization and operating leverage must collectively produce more than an ordinary cyclical recovery.

MOBILITY AND AI PLATFORM FACT SHEET

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Mobility and AI Platform (continued)

Business division deep dive — Current profit engine with platform options.

Robotaxi has moved beyond a laboratory program, but its commercial scale remains small relative to the implied platform. Tesla reported nearly 2.5 million paid Robotaxi miles by the end of Q2 2026 and more than 380,000 unsupervised miles across six cities, according to Tesla and S&P Global in July 2026. Apptopia data reported by CleanTechnica on 8 July 2026 placed Tesla at 6% of US robotaxi monthly active users in June, versus Waymo at 69% and Zoox at 25%. Waymo's share had declined from 79% in January, so competition is changing, but Tesla had not yet demonstrated leadership. The required assumption is not merely that Robotaxi works; it is that Tesla scales users, regulatory coverage and positive contribution faster than already commercial operators.

MILESTONES

Regulation must be tracked jurisdiction by jurisdiction because permission, rather than consumer interest, is the binding constraint for autonomous deployment. Texas provides the clearest current route: Tesla Robotaxi LLC operates in Austin, Dallas and Houston under a Transportation Network Company permit covering supervised and unsupervised operations, according to the Texas regulator information dated 8 June 2026. Nevada granted an Autonomous Vehicle Network Company permit for a limited ten-vehicle commercial fleet in Clark County, according to the Nevada Transportation Authority information reported on 13 August 2026. California is materially behind: Tesla holds a testing permit with a human safety driver, but not the driverless testing and commercial deployment permissions required for a scalable service. The California Public Utilities Commission separately classifies Tesla's ride-hailing activity as a Charter Party Carrier rather than an autonomous vehicle service.

The apparent California source conflict is mainly a difference between agencies and permit categories. California DMV information dated 8 June 2026 says Tesla has a testing-with-driver permit, while the CPUC statement dated 25 March 2026 says the ride-hailing operation has no AV permit with the CPUC or DMV and instead operates under a limousine-service classification. We weight the narrower agency-specific interpretation: Tesla may hold a DMV testing credential, but it lacks the permissions needed for driverless commercial service. New California rules require at least 50,000 safety-driver autonomous testing miles before eligibility to apply for driverless testing, according to Sidley and the DMV on 8 May 2026. Tesla reported zero California autonomous public-road testing miles for 2025, so the next auditable gate is accumulated qualifying mileage followed by driverless testing approval.

MOBILITY AND AI PLATFORM FACT SHEET

CURRENT PROFIT ENGINE WITH PLATFORM OPTIONS

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Mobility and AI Platform (continued)

Business division deep dive — Current profit engine with platform options.

- Approved commercially: Texas TNC operations in Austin, Dallas and Houston, including supervised and unsupervised service, June 2026.
- Approved on a limited basis: Nevada AV Network Company permit for 10 vehicles in Clark County, August 2026.
- Not approved for driverless commercial AV service: California; next gate is qualifying testing mileage and a driverless testing permit.
- China framework: GB 44721-2026 becomes effective 1 July 2027 and requires a safety baseline of one accident per 10,000 hours.

SIGNAL MAP

Positive operating signals include record Q2 2026 revenue, trailing twelve-month revenue above USD 100 billion and meaningful autonomous mileage. Tesla also converted Model S and Model X lines in Fremont for dedicated Optimus production, according to the Q2 2026 update, and had deployed more than 1,000 Gen 3 units on the live Fremont floor according to Tesla material dated 26 May 2026. Those robots were reported undertaking sorting and handling tasks, creating an internal data advantage because Tesla controls both the robot and the factory environment. Management nevertheless stated that deployed units were primarily for learning and data collection rather than measurable productive output in the Q4 2025 earnings call on 28 January 2026. We therefore treat Optimus as an operational learning asset inside the Mobility and AI multiple, not as a separately proven earnings stream.

Negative signals include declining ASP, weaker automotive margin and intensifying China competition. The 16.3% automotive gross margin excluding credits and 1.4% Q2 group EBIT margin are not conflicting measures: the former is segment gross margin before operating costs, while the latter is consolidated EBIT margin after those costs. A separate TradingKey report on 13 August 2026 described operating margin collapsing toward 1.4%, consistent with the authoritative Q2 actual rather than inconsistent with automotive gross margin. Regulatory-credit revenue was USD 2 billion in 2025, and analysts cited in Tesla's Q1 update expected a 75% decline in 2026 following policy changes. The expiration of the Section 30D consumer credit after 30 September 2025 adds another demand and pricing headwind, although the precise 2026 volume impact is not available.

MOBILITY AND AI PLATFORM FACT SHEET

CURRENT PROFIT ENGINE WITH PLATFORM OPTIONS

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MODEL ESTIMATE GROSS PROFIT	USD 13,292m
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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.1 Mobility and AI Platform (continued)

Business division deep dive — Current profit engine with platform options.

ASSESSMENT

Mobility and AI remains Tesla's dominant business division because it combines a scaled BEV franchise with several credible but incompletely monetized options. The vehicle business has enough cost advantage and US share to remain profitable, yet global competition and underutilized capacity limit the likelihood of a rapid return to peak margins. Robotaxi has crossed important technical and commercial milestones, but current user share and regulatory coverage do not support a dominant-network assumption. Optimus has genuine internal deployment evidence, but management's own description emphasizes training data rather than productive economics, and the external shipment market is led by Chinese vendors. Our 4.5x FY2026 sales multiple is deliberately above conventional automotive treatment to recognize these options, while remaining below the 9.79x current group P/S and 12.06x current EV/Sales.

What would break the conservative valuation is a combination of regulatory expansion and disclosed economics rather than another product demonstration. Specifically, California driverless approval, sustained Robotaxi user-share gains, positive contribution after insurance and fleet costs, and evidence that FSD subscriptions produce durable recurring revenue would justify a higher multiple. Cybercab production at high utilization with a verified cost below USD 30,000 would strengthen that case; the target was reported by CNBC/TechCrunch on 17 March 2026. Conversely, continued ASP erosion, factory utilization below design capacity and lower regulatory-credit support would move the division toward an ordinary manufacturing multiple. The current price leaves little room for that ordinary outcome.

MOBILITY AND AI PLATFORM FACT SHEET

CURRENT PROFIT ENGINE WITH PLATFORM OPTIONS

MODEL ESTIMATE REVENUE
USD 82,056m

MODEL ESTIMATE GROSS PROFIT
USD 13,292m

FY2025 GROSS MARGIN
16.2% reported segment gross profit/revenue

Q2 2026 VEHICLE ASP
$42,730 per vehicle

Q2 2026 AUTO MARGIN EX CREDITS
16.3%

2025 DELIVERIES
1.64m BEVs

INSTALLED VEHICLE CAPACITY
>2.375m vehicles/year

GLOBAL PASSENGER BEV SHARE
13% in Q1 2026

ROBOTAXI COMMERCIAL FOOTPRINT
Texas TNC; Nevada limited to 10 vehicles

CURRENT EV ALLOCATION
$1,027.2bn; 12.5x FY2025 revenue

MOBILITY SCALE, ECONOMICS AND AUTONOMOUS-MARKET POSITION

COMPANY/OPERATOR	SCALE OR SHARE	UNIT ECONOMICS	POSITIONING
Tesla	13% global BEV share (Q1 2026)	$42,730 ASP; 16.3% GM (Q2)	Integrated EV, FSD and Robotaxi
BYD	2.26m BEVs (2025)	$22,262 ASP avg.; $2,557 GP/car	Mass-market scale leader
Xiaomi EV	258,164 SU7s (2025)	~$36,500 ASP; 24.3% GM	China software-led challenger
Waymo	69% US robotaxi MAU (Jun 2026)	$15–17 revenue/ride est.	Commercial autonomy leader
Zoox	25% US robotaxi MAU (Jun 2026)	Ride margin not disclosed	Purpose-built fleet challenger

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Energy Generation and Storage

Business division deep dive — Scaled growth profit engine.

WHY THE MARKET VALUES IT

Energy Generation and Storage is Tesla's clearest evidence that the enterprise is diversifying beyond vehicles. The reported segment generated USD 12.8 billion of FY2025 external sales and USD 3.8 billion of gross profit, representing 13.5% of group revenue but 22.2% of group gross profit. Its 29.8% reported gross margin was therefore materially above Automotive's 16.2%, making each dollar of revenue more valuable before shared operating expenses. Q2 2026 deployments reached 13.5 GWh, up 53% sequentially and 41% year over year, according to Tesla and the SEC on 22 July 2026. The division merits a premium because utility storage demand is growing rapidly and Tesla has product, software, factory and customer-contract capabilities in one platform.

Our current enterprise-value allocation of USD 250.1 billion equals approximately 19.6 times FY2025 segment revenue, demonstrating that the market already recognizes this quality. The target bridge applies 7.0 times estimated FY2026 sales of USD 14.3 billion, producing USD 100.1 billion of enterprise value. That remains a premium to Enphase's 2026 EV/Sales multiple of 3.8 times and to the two-peer median of 6.4 times, but it is far below the current implied division multiple. The valuation rests on sustained deployment growth, normalization after warranty charges and reasonable utilization of the enlarged factory network. It breaks if cell quality, price competition or factory commissioning prevents revenue from scaling into cash flow.

MARKET STRUCTURE AND DEMAND

Grid storage is expanding quickly as renewable generation, grid congestion and reliability requirements create demand for multi-hour systems. InfoLink estimated global energy-storage-system shipments of 126.4 GWh in Q1 2026, up 79% year over year, in a report dated 2 June 2026. Tesla's 13.5 GWh Q2 deployment indicates meaningful scale, although quarterly industry share cannot be calculated because matched-period global shipment data is not available. The addressable market includes utility Megapacks, residential Powerwalls, solar generation and software, but the source data does not provide Tesla's revenue split across those products. The investment case is strongest in utility-scale storage, where factory capacity and project execution matter more than consumer-brand spending.

ENERGY GENERATION AND STORAGE FACT SHEET

SCALED GROWTH PROFIT ENGINE

FY2025A REVENUE	USD 12,771m
FY2025A GROSS PROFIT	USD 3,802m
FY2025 GROSS MARGIN	29.8%
Q2 2026 DEPLOYMENT	13.5 GWh
Q2 2026 REVENUE	$3.14bn
Q2 2026 GROSS MARGIN	20.4% after $240m warranty charge
ESTIMATED MANUFACTURING CAPACITY	133 GWh/year
SHANGHAI CAPACITY	40 GWh/year
GLOBAL INTEGRATOR SHARE	10% in 2025 per Benchmark estimate
CURRENT EV ALLOCATION	$250.1bn; 19.6x FY2025 revenue

CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Energy Generation and Storage (continued)

Business division deep dive — Scaled growth profit engine.

Demand visibility appears significant but should not be treated as cash until delivery schedules and margins are verified. Green Drive reported an energy-storage order book exceeding USD 50 billion as of April 2026, while Tesla's Intersect Power contract covers 15.3 GWh through 2030 with 10 GWh expected operational by the end of 2027, according to Teslarati on 18 July 2024. The order-book figure is from a secondary source and lacks a company-reconciled schedule, so it receives less weight than disclosed deployments and factory capacity. Long project cycles can create strong backlog while still exposing suppliers to permitting, interconnection and customer-timing delays. The critical demand signal is therefore delivered GWh at stable gross margin, not announced backlog alone.

COMPETITIVE POSITION

Tesla's integrator position is strong but no longer undisputed. Wood Mackenzie ranked Tesla first globally in 2024 with a 15% share and assigned it 39% of North America, according to data released on 7 August 2025. Benchmark Mineral Intelligence estimated that BYD overtook Tesla in 2025 with 13% versus Tesla's 10%, while Sungrow held 9%, according to reports in May 2026. A Wood Mackenzie comprehensive ranking released on 14 August 2026 instead placed Sungrow first for 2025 performance. These findings use different methodologies and ranking criteria, so we weight the explicit deployment-share estimates for quantitative comparison and the Wood Mackenzie result as evidence that product breadth and execution can alter the ranking.

Competition also exists one layer below system integration, where cell suppliers capture economics and influence warranty risk. CATL's 2025 storage-cell share was reported between 20% and 30.4% by Benchmark Mineral Intelligence and Battery-Tech Network, reflecting a definitional or dataset difference rather than a range Tesla can control. CnEVPost reported CATL at 27.1% in H1 2026 on 4 August 2026. HiTHIUM and EVE Energy each held approximately 12% of 2025 cell shipments according to Benchmark Mineral Intelligence. Tesla's procurement scale offers bargaining power, but dependence on third-party cells also means vendor defects can flow directly into reported warranty charges.

- Tesla: 15% global BESS-integrator share in 2024 and 39% in North America; Wood Mackenzie, 7 August 2025.
- BYD: 13% global integrator share in 2025; Benchmark Mineral Intelligence, May 2026.
- Sungrow: 9% share under Benchmark's 2025 estimate and No. 1 under Wood Mackenzie's broader ranking.
- Fluence: 4% global integrator share in 2025; Benchmark Mineral Intelligence, 19 May 2026.

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Energy Generation and Storage (continued)

Business division deep dive — Scaled growth profit engine.

UNIT ECONOMICS

FY2025 segment gross profit of USD 3.8 billion on USD 12.8 billion of revenue produced a 29.8% gross margin. Q1 2026 energy gross margin reached 39.5%, before falling to 20.4% in Q2, according to Tesla's update and the subsequent earnings-call discussion. The two figures are sequential observations rather than a factual conflict; the Q2 decline was attributed to a USD 240 million warranty charge related to vendor cell issues. Q2 revenue was USD 3.14 billion according to Energy-Storage.News on 23 July 2026. Adding back the disclosed warranty charge would improve the quarter's gross-margin indication materially, but the precise normalized margin should not be presented as reported because product mix and other movements are unavailable.

Megapack pricing provides an external revenue framework but not a complete cost bridge. SDVGuru estimated a base price of USD 235–285 per kWh for a two-hour Megapack 2 XL in 2025–2026, depending on order volume and before tax credits. Applying that range to the 13.5 GWh Q2 deployment would imply substantially more product value than reported segment revenue, confirming that deployment timing, system duration, product mix and revenue recognition prevent a simple price-times-GWh reconstruction. Tesla's precise Megapack bill of materials is not available in the source data. Consequently, segment gross margin and delivered GWh are more reliable valuation anchors than an inferred cost per pack.

ECONOMICS BRIDGE

The main economics bridge is factory scale. Estimated combined storage manufacturing capacity reached 133 GWh annually across Lathrop, Shanghai, Houston and Nevada, according to optimusk.blog on 8 August 2026. Shanghai contributes 40 GWh and is focused partly on EMEA exports, according to Tesla's Q2 update. Houston was reported by Energy Storage on 9 August 2026 to have commenced Megapack 3 production with 50 GWh of designed capacity. Tesla's Q2 shareholder letter had earlier indicated that volume production was no longer targeted for 2026 while lines were being commissioned, so we weight the company timing over the later secondary report and treat Houston as commissioning or early production rather than proven volume output.

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Energy Generation and Storage (continued)

Business division deep dive — Scaled growth profit engine.

Higher capacity only creates value if cells, customers and working capital scale with it. Tesla reportedly pre-committed at least 20 GWh of CATL LFP cells for 2026–2028, according to TESMAG on 13 July 2025, and secured a USD 4.3 billion LG Energy Solution LFP agreement beginning in August 2027, according to KED Global on 30 July 2025. Those contracts reduce supply uncertainty but can introduce purchase commitments and supplier concentration. The Syrah graphite agreement settlement in June 2026 also indicates qualification progress without removing upstream execution risk. A successful bridge produces faster revenue growth, stable warranty expense and operating cash conversion; a failed bridge leaves newly installed capacity underutilized.

GAP TO REQUIRED ECONOMICS

Energy can justify a premium multiple without carrying Tesla's entire market capitalization. At the target multiple, estimated FY2026 revenue of USD 14.3 billion supports roughly USD 100 billion of enterprise value, already above what many hardware-oriented peers would command. The current allocation of USD 250 billion requires either substantially higher future revenue, unusually persistent gross margins or software-like value from dispatch and grid services. The authoritative group forecasts do not provide divisional revenue or EBIT, so a precise energy DCF is not available. The most important missing proof is conversion of the expanded 133 GWh capacity into revenue and free cash flow without a repeat of the Q2 warranty shock.

The comparative evidence supports quality but not invulnerability. Sungrow shipped 43 GWh of storage systems in 2025 and generated RMB 37.3 billion of revenue at a 36.49% gross margin, according to its annual report reported by pv magazine on 3 April 2026. Fluence generated USD 649.8 million in fiscal Q3 2026 revenue but recorded a GAAP loss per share, according to Fluence and TradingView on 5 August 2026. Enphase shipped only 113.8 MWh of batteries in Q2 2026 but achieved a 46.8% non-GAAP gross margin for its overall business, according to Enphase on 28 July 2026. Tesla combines much greater storage scale than Enphase with stronger profitability than Fluence, but Sungrow demonstrates that high volume and high gross margin are not unique.

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Energy Generation and Storage (continued)

Business division deep dive — Scaled growth profit engine.

MILESTONES

The nearest milestone is sustained quarterly deployment after the 13.5 GWh Q2 record. A second quarter above that level, accompanied by gross-margin recovery from 20.4%, would indicate that the warranty charge was episodic rather than structural. Shanghai's 40 GWh capacity should increase export availability, but utilization data for Shanghai and Lathrop is not available in the source data. Houston's commissioning is the next capacity gate because reports conflict over whether production has started or volume production has been deferred. The appropriate evidence is disclosed output and recognized revenue, not designed capacity alone.

The medium-term milestone is supply-chain diversification into 2027. LG Energy Solution deliveries under the reported USD 4.3 billion contract begin in August 2027, while CATL commitments cover part of 2026–2028. Successful qualification should reduce concentration and support Megapack 3 scaling; unsuccessful qualification could recreate warranty or commissioning costs. The Intersect Power schedule provides a customer-level checkpoint, with 10 GWh expected operational by the end of 2027. Policy also matters because Tesla's proposed USD 10.1 billion Texas solar project was reported on 13 August 2026 as contingent on Section 45X and 48D incentives, meaning capital allocation should remain conditional rather than assumed.

SIGNAL MAP

The strongest positive signal is the combination of record deployment and a larger manufacturing footprint. Q2 deployment growth of 41% year over year outpaced the segment's reported 13% revenue growth, which may reflect product mix, pricing or recognition timing rather than weak demand. The Shanghai factory had reportedly reached full-rate production in Q4 2025 and contributed 55.7% of Tesla's 2025 storage output, according to TESMAG on 16 March 2026. If that evidence is sustained in official reporting, Tesla has demonstrated that it can replicate Megafactory production outside the United States. The next signal should be whether Houston can repeat that ramp without sacrificing yield or warranty quality.

The strongest negative signal is the USD 240 million Q2 warranty charge. Because the issue was attributed to vendor cells, it tests Tesla's supplier qualification, contract recovery and system-level quality controls rather than only factory execution. A single charge can be normalized; repeated charges would indicate that reported gross margin overstates through-cycle economics. The gap between designed 133 GWh capacity and disclosed utilization also creates fixed-cost risk. Finally, changes to US manufacturing credits after 2026 could alter project economics, although the source data does not provide a division-specific dollar exposure.

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CORE ANALYSIS · BUSINESS DIVISION DEEP DIVES

08.2 Energy Generation and Storage (continued)

Business division deep dive — Scaled growth profit engine.

ASSESSMENT

Energy Generation and Storage is Tesla's highest-quality currently reported growth pool. It has superior gross margin to Automotive, rapidly rising deployments, a sizable North American position and a credible route to more than 100 GWh of annual production capability. The competitive field is strong, however, and the 2025 leadership rankings differ by source and methodology. Tesla's advantage lies in integrated system engineering, software, brand and factory replication rather than exclusive access to cells or customers. A 7.0x FY2026 sales multiple recognizes those strengths while requiring continued growth and margin recovery.

The value would move materially higher if quarterly deployments remain near or above the Q2 record, Houston reaches verified volume production and segment gross margin recovers without further large warranty charges. It would move lower if capacity additions run ahead of customer deliveries, supplier defects recur or price competition pulls gross margin toward commodity hardware levels. The division cannot currently support its USD 250 billion allocated market value on disclosed earnings alone. Even so, it provides a more observable valuation path than Robotaxi or Optimus because revenue, gross profit and deployment are already reported. For investors rejecting the group target price, energy deployment and warranty trends offer the cleanest independent trading signal.

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STORAGE SCALE, PROFITABILITY AND COMPETITIVE POSITIONING

COMPANY	SCALE/SHARE	MARGIN/ECONOMICS	COMPETITIVE NOTE
Tesla Energy	13.5 GWh deployed (Q2 2026)	20.4% GM; $240m warranty	Utility and residential platform
BYD	13% integrator share (2025)	Product margin not available	Largest under Benchmark estimate
Sungrow	43 GWh shipped (2025)	36.49% storage GM	No. 1 in WoodMac ranking
Fluence	4% integrator share (2025)	$649.8m revenue; GAAP loss	Utility-scale specialist
Enphase	113.8 MWh batteries (Q2 2026)	46.8% total non-GAAP GM	Residential ecosystem benchmark

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Automotive cash generation finances the common AI compute, manufacturing engineering and service infrastructure used by Robotaxi and Optimus. This makes a clean accounting separation impossible with the provided disclosures, but it also prevents optionality from being costless. Group gross capital expenditure is forecast at USD 19.4 billion in 2026 while FCFF remains negative USD 4.5 billion.

Energy benefits from shared procurement, power electronics, battery engineering and factory know-how. Conversely, competition for cells and capital can create internal trade-offs between vehicles, storage and new factories. The source data does not provide transfer prices or shared-cost allocations, so reported segment gross profit is the cleanest factual base and current EBIT shares are explicitly modelled estimates.

Robotaxi could cannibalize some personal vehicle demand while increasing fleet utilization and recurring revenue. Cybercab's lower targeted production cost and Unboxed assembly may protect manufacturing economics, but fleet ownership also adds operating costs that consumer-owned vehicles place on customers. Positive network economics therefore require more than replacing one vehicle sale with one fleet vehicle.

Optimus can initially create value internally through learning, safety or labor substitution before external revenue appears. Management's statement that current units focus on learning rather than measurable output means those benefits should not yet be capitalized as reported profit. The valuation includes the option through Mobility and AI's premium multiple rather than a free-standing unverifiable value.

BRIDGE MECHANICS

The locked EV-to-equity bridge is enterprise value plus USD 3.5 billion of net cash, less USD 10.8 billion of other adjustments. Every EV-based method uses the same USD 7.3 billion net deduction and 3.9 billion shares.

Tesla trades at 76.86x 2026 EV/EBITDA, 225.18x EV/EBIT and 12.06x EV/Sales on the authoritative model. Its normalized historical averages are 101.83x, 191.70x and 13.96x respectively, but those averages document how persistently the market has priced optionality rather than validating eventual cash conversion. FCFF is forecast negative through 2027 and turns positive at only USD 1.1 billion in 2028.

The resolved peer median is 15.8x 2026 EV/EBITDA and 6.4x EV/Sales. Alphabet's 2026 EV/Sales multiple is 8.9x with a 33.7% EBIT margin, while Enphase trades at 3.8x with a 14.2% margin. Tesla's 5.4% forecast margin is far below both, so applying the 6.4x peer sales median already gives substantial credit for future mix improvement.

The reverse valuation keeps near-term revenue at the authoritative levels but raises 2026 EBITDA to USD 33.5 billion and EBIT to USD 22.6 billion. By 2029 it requires USD 59.2 billion of EBIT on USD 147.3 billion of sales, or 40.2%. Terminal EBIT margin reaches 43.2%. This is stronger than Alphabet's 2026 forecast margin and must emerge from a group still dominated by manufacturing revenue.

Book value provides a second warning. Tesla's average forecast ROE of 7.8% maps to a universe-implied P/BV of 1.4x, compared with the current average forecast P/BV of 13.5x. Our cross-check applies 5.9x to 2026 book value, matching the resolved peer median and remaining far above the universe curve. Even this generous treatment produces only USD 129.57 per share.

The reality check does not claim autonomy or robotics have no value. It shows that the current price requires those options to become large, profitable and capital-efficient before the vehicle and storage businesses lose competitive momentum. The target preserves option value through premium sales multiples, but refuses to

CORE ANALYSIS · SCENARIOS & VERDICT

10 Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The Bear case uses USD 105.9 billion of revenue, USD 10.5 billion of EBITDA and a 9.9% margin. It represents vehicle pricing pressure, slower storage normalization and continuing investment without successful platform monetization. A 15.0x EV/EBITDA multiple remains above many manufacturers because strategic options survive even in this case.

The Base case uses the authoritative 2029 revenue and EBITDA forecasts of USD 147.3 billion and USD 23.2 billion. The 15.7% margin assumes operating recovery and a larger energy mix but not the software-like margins required by the current price. A 20.0x multiple recognizes brand, balance-sheet resilience and autonomy optionality.

The Bull case uses the market-implied 2035 revenue of USD 175.4 billion and EBITDA of USD 86.4 billion, equal to a 49.3% margin. It therefore represents successful Robotaxi, software and AI platform conversion rather than a conventional volume upside. The case also implies very strong internally generated cash, so it is paired with the model's movement toward a net-cash balance rather than carrying base-case leverage unchanged.

The scenarios are deliberately non-linear because the equity debate is not about a small change in deliveries. Bear and Base remain manufacturing-led outcomes, whereas Bull is a platform transition. Investors can reject the probability weights while still using Robotaxi user share, California permits, energy warranty expense and automotive margin as observable signposts.

BOTTOM LINE

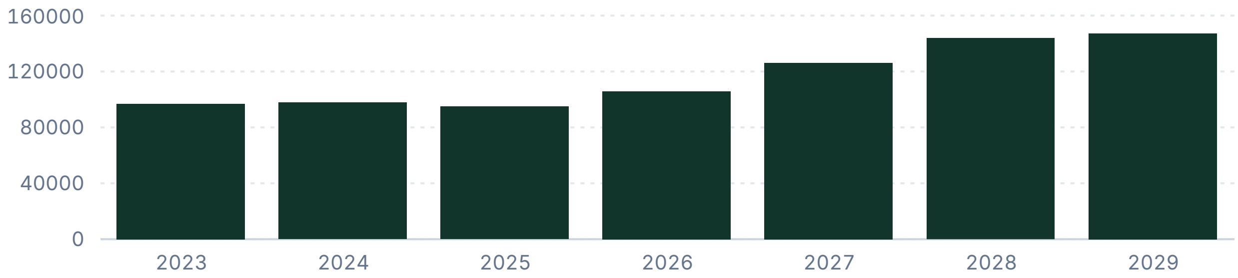
Tesla owns valuable industrial and software assets, but the controlled market value capitalizes a successful platform transition before the evidence establishes regulatory breadth, user leadership or group-level cash conversion. Energy offers the most observable upside path, while Mobility and AI contains both the largest value and the largest assumption gap. The resulting USD 136.39 target supports SELL despite acknowledging that a genuine autonomous-network breakthrough would invalidate the conclusion.

FINANCIAL BRIDGE · PART 1

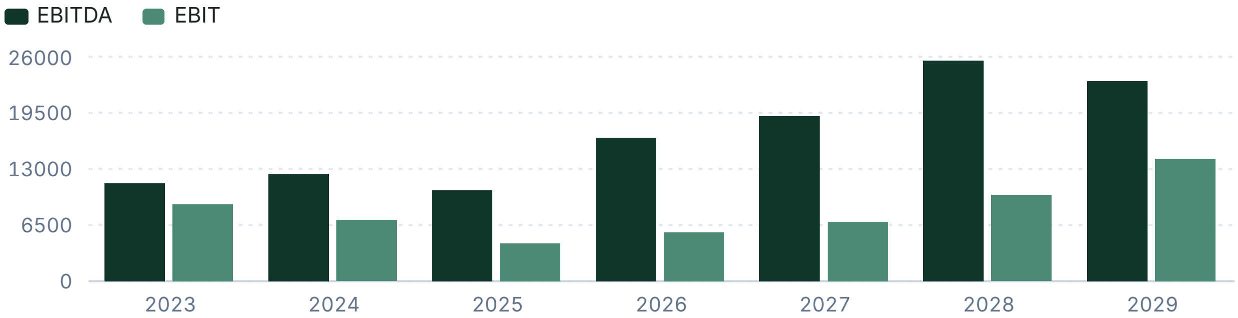
14 Net sales, EBITDA / EBIT, EBIT margin

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

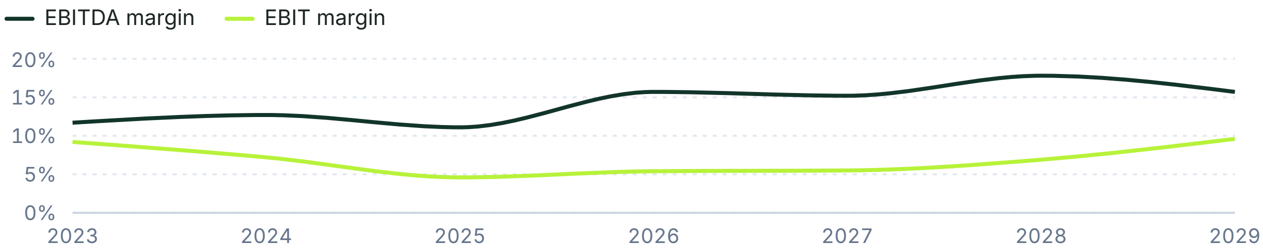
Net sales
USD millions



EBITDA & EBIT
USD millions



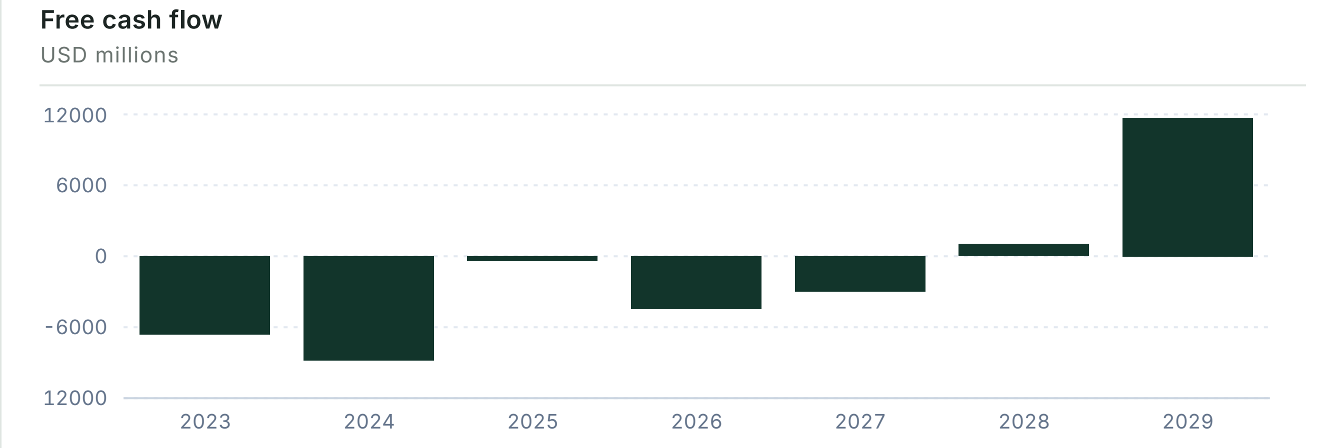
EBIT and EBITDA margin
% of net sales

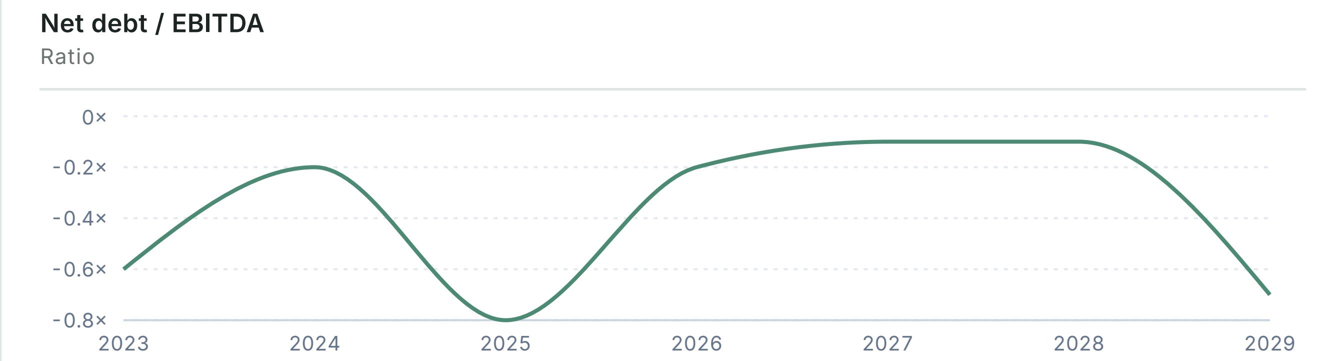


FINANCIAL BRIDGE · PART 2

15 Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.





KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	94,827	105,880	126,200	144,000	147,278
EBITDA	10,503	16,617	19,140	25,570	23,169
Comparable EBIT	4,355	5,672	6,890	9,980	14,179
Net Earnings	**3,855**	**3,871**	**7,360**	**10,588**	**14,472**
EPS (USD)	1.2	1.2	2.3	3.3	4.5
DPS (USD)	0	0	0	0	0

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

The EBITDA sensitivity spans USD 13.3 billion to USD 19.9 billion and 12.0x to 30.0x. Even the upper-right outcome remains well below the controlled current price, showing that ordinary earnings recovery and a premium industrial multiple are insufficient. Reconciliation to the current valuation requires the much more demanding reverse-model margin path, not a modest change in the selected multiple.

HISTORICAL AND FORECAST MULTIPLES

METRIC	2024A	2025A	2026E	NORM. AVG.
P/E	180.49x	376.22x	267.91x	112.06x
EV/EBITDA	104.64x	138.54x	76.86x	101.83x
EV/EBIT	184.02x	334.11x	225.18x	191.70x
EV/Sales	13.33x	15.34x	12.06x	13.96x
P/BV	17.71x	17.66x	14.77x	20.12x
P/S	13.22x	15.29x	9.79x	13.61x

VALUATION

Peers and target price bridge

17

Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	2026E EV/SALES	2026E EV/EBITDA	2026E EBIT MARGIN
Tesla	12.06x	76.86x	5.4%
Alphabet	8.9x	17.9x	33.7%
Enphase Energy	3.8x	13.7x	14.2%
Peer median	6.4x	15.8x	23.9%

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE (12M DISC.)	WEIGHT
SOTP: Mobility and AI Platform	FY2026E Revenue	91,586.2	4.5x	104.4 USD	0%
SOTP: Energy Generation and Storage	FY2026E Revenue	14,293.8	7.0x	25.3 USD	0%
Sum of the parts	FY2026E Component ent...	n/a	n/a	127.8 USD	70%
EV/Sales	FY2026E Revenue	105,880	6.4x	169.7 USD	20%
P/BV	FY2026E Equity	86,736	5.9x	129.6 USD	10%
Weighted target price				136.4 USD	100%

SENSITIVITY — IMPLIED SHARE PRICE

FY2026E EBITDA	12.0X	15.8X	20.0X	25.0X	30.0X
13,293.6 (-20%)	38.5	51.3	65.5	82.3	99.1
14,955.3 (-10%)	43.6	58.0	73.9	92.8	111.8
16,617 (Base)	48.6	64.6	82.3	103.3	124.4
18,278.7 (+10%)	53.7	71.3	90.7	113.9	137.0
19,940.4 (+20%)	58.7	77.9	99.1	124.4	149.6

VALUATION MAP

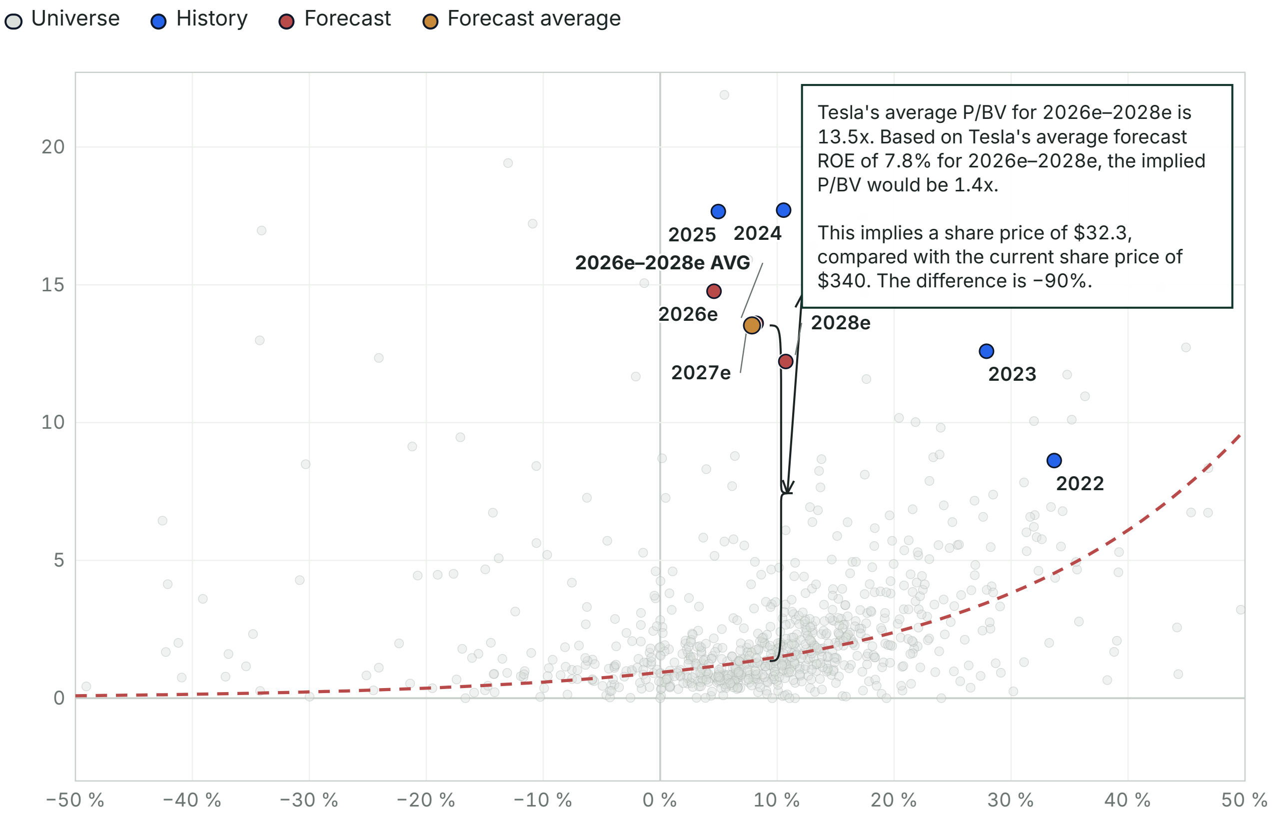
ROE vs P/BV — pricing versus profitability

18

The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.

ROE 2025 vs P/BV 2025

Tesla in the Wisdom universe (4 632 companies)



Tesla's average 2026–2028 forecast ROE is 7.8% against an average P/BV of 13.5x. Across 4,632 consensus companies, the universe curve implies only 1.4x P/BV at that return, or USD 32.3 per share on average forecast book value of USD 23.9. The 90% gap to the controlled current price shows that investors are paying for future optionality not captured in near-term book returns.

MULTIPLES & SENSITIVITY

19

Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	2026
P/E	267.9×
EV/EBITDA	76.9×
EV/EBIT	225.2×
P / Valuatum FOCF	-232.8×
P/BV	14.8×
Dividend Yield	—
Net Debt / EBITDA	-0.2×

EBITDA × EV/EBITDA sensitivity

FY2026E EBITDA, USDM EV/EBITDA multiple →	12.0×	15.8×	20.0×	25.0×	30.0×
−20% USD 13,294m	**USD 159,528m** USD 38.60 / sh	**USD 210,045m** USD 51.30 / sh	**USD 265,880m** USD 65.50 / sh	**USD 332,350m** USD 82.30 / sh	**USD 398,820m** USD 99.10 / sh
−10% USD 14,955m	**USD 179,460m** USD 43.60 / sh	**USD 236,289m** USD 58.00 / sh	**USD 299,100m** USD 73.90 / sh	**USD 373,875m** USD 92.80 / sh	**USD 448,650m** USD 111.80 / sh
Base USD 16,617m	**USD 199,404m** USD 48.60 / sh	**USD 262,549m** USD 64.60 / sh	**USD 332,340m** USD 82.30 / sh	**USD 415,425m** USD 103.30 / sh	**USD 498,510m** USD 124.40 / sh
+10% USD 18,279m	**USD 219,348m** USD 53.70 / sh	**USD 288,808m** USD 71.30 / sh	**USD 365,580m** USD 90.70 / sh	**USD 456,975m** USD 113.90 / sh	**USD 548,370m** USD 137.00 / sh
+20% USD 19,940m	**USD 239,280m** USD 58.70 / sh	**USD 315,052m** USD 77.90 / sh	**USD 398,800m** USD 99.10 / sh	**USD 498,500m** USD 124.40 / sh	**USD 598,200m** USD 149.60 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	105,880	10,503	9.9%	15.0×	157,545	150,276	USD 38.05	−88.8%
Base	147,278	23,169	15.7%	20.0×	463,380	456,111	USD 115.48	−66.0%
Bull	175,389	86,444	49.3%	25.0×	2,161,100	2,153,831	USD 545.34	+60.4%

KEY CONDITIONS

Bear requires persistent automotive pricing pressure, weak fixed-cost absorption and no material autonomy contribution. Base requires the authoritative revenue path, energy scaling and EBIT recovery without a platform-margin transformation. Bull requires widespread driverless permissions, strong Robotaxi adoption, recurring software economics and enough cash generation to support the reverse model's rising equity and net-cash position. These scenarios are operating boundary cases, not probability-weighted target-price inputs. The code-verified 12-month target of USD 136.4 sits between Base and Bull (Bear USD 38.1, Base USD 115.5, Bull USD 545.3); its method weights are shown in the Target Price Bridge.

THESIS BREAKER

The SELL thesis breaks if audited autonomy economics make a 40%-plus group EBIT margin credible rather than merely market-implied.

CATALYSTS

21 Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER

	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Automotive gross margin excluding credits recovers above Q2 level	NEAR-TERM	Mobility and AI Platform	Quarterly margin versus 16.3%	Supports manufacturing earnings normalization
California qualifying autonomous-test mileage begins	NEAR-TERM	Mobility and AI Platform	Progress toward 50,000-mile gate	Raises probability of driverless approval
Robotaxi expands beyond limited Texas and Nevada permissions	MEDIUM-TERM	Mobility and AI Platform	New driverless commercial permits	Validates regulatory replication
Cybercab exceeds 125,000-unit installed capacity at utilization	MEDIUM-TERM	Mobility and AI Platform	Production, utilization and cost disclosure	Tests Unboxed cost advantage
Energy gross margin normalizes after warranty charge	NEAR-TERM	Energy Generation and Storage	Margin recovery from 20.4%	Separates one-off from structural quality risk
Houston Megapack 3 reaches verified volume production	MEDIUM-TERM	Energy Generation and Storage	Disclosed output against 50 GWh design	Unlocks capacity-led revenue growth
Intersect Power reaches 10 GWh operational target	LONG-TERM	Energy Generation and Storage	Operational GWh by end-2027	Validates backlog conversion

READ-THROUGH

Medium-term value creation requires capacity to become utilized output. Cybercab needs production, cost and fleet evidence; Houston needs disclosed Megapack volume; and Robotaxi needs permit replication beyond favorable jurisdictions. Announcements without utilization, contribution margin or regulatory authority should not receive the same valuation weight as completed milestones.

RISKS

Risk register

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Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER

	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Vehicle price competition erodes gross profit	Mobility and AI Platform	Lower ASP offsets manufacturing-cost reductions and weakens fixed-cost absorption.	ASP and margin fall below Q2 2026 levels	HIGH	STRUCTURAL
Autonomy permissions scale slowly	Mobility and AI Platform	Robotaxi remains geographically limited and cannot earn network economics.	No qualifying California test-mile progress	HIGH	THESIS BREAKER
Robotaxi user adoption trails incumbents	Mobility and AI Platform	Low utilization and user share prevent fleet costs from being absorbed.	US MAU share remains near 6%	HIGH	STRUCTURAL
Energy warranty charges recur	Energy Generation and Storage	Supplier defects reduce normalized gross margin and consume cash.	New charges after the Q2 $240m item	HIGH	MANAGEABLE
New capacity remains underutilized	Energy Generation and Storage	Depreciation and fixed costs rise before matching revenue and gross profit.	Output lags installed annual capacity	HIGH	THESIS BREAKER
Tax and regulatory-credit support declines	Energy Generation and Storage	Demand incentives, regulatory-credit revenue and project returns weaken.	Credit revenue falls near projected 75%	MEDIUM	STRUCTURAL
Optimus scale claims exceed productive output	Mobility and AI Platform	Capital is committed before robots demonstrate measurable labor substitution.	Deployment rises without productivity KPIs	MEDIUM	MANAGEABLE

READ-THROUGH

Energy has a different risk path: supplier quality, commissioning and backlog conversion. A one-time warranty charge is manageable, but recurring defects combined with low utilization would challenge the premium multiple. Policy exposure is relevant across both pools because the consumer credit has expired and

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APPENDIX

Income statement

INCOME STATEMENT — USD MILLIONS	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
Net Sales	**96,773**	**97,690**	**94,827**	*105,880*	*126,200*	*144,000*
EBITDA	**11,358**	**12,444**	**10,503**	*16,617*	*19,140*	*25,570*
EBITDA margin	11.7%	12.7%	11.1%	*15.7%*	*15.2%*	*17.8%*
Depreciation	-2,467	-5,368	-6,148	*-10,945*	*-12,250*	*-15,590*
Operating Profit (EBIT)	**8,891**	**7,076**	**4,355**	*5,672*	*6,890*	*9,980*
EBIT margin	9.2%	7.2%	4.6%	*5.4%*	*5.5%*	*6.9%*
Net financial items	1,082	1,914	923	*-282*	*1,000*	*1,370*
Pre-tax Profit	**9,973**	**8,990**	**5,278**	*5,390*	*7,890*	*11,350*
Net Earnings	**14,976**	**7,153**	**3,855**	*3,871*	*7,360*	*10,588*
PER SHARE						
EPS	4.7	2.2	1.2	*1.2*	*2.3*	*3.3*
DPS	0	0	0	*0*	*0*	*0*
Payout ratio	—	—	—	—	—	—

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — USD MILLIONS

	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
ASSETS						
Tangible assets	45,123	51,507	40,643	*49,036*	*58,447*	*66,690*
Intangibles	362	1,226	135	*151*	*180*	*205*
Goodwill	253	244	257	*257*	*257*	*257*
Non-current assets	**50,269**	**57,186**	**62,239**	***70,648***	***80,087***	***88,356***
Inventories	13,626	12,017	12,392	*13,552*	*16,153*	*18,431*
Receivables	19,592	30,204	39,737	*40,158*	*41,117*	*41,957*
Cash & equivalents	16,398	16,139	16,513	*18,107*	*21,582*	*24,626*
Current assets	**49,616**	**58,360**	**68,642**	***71,817***	***78,852***	***85,014***
Total Assets	**106,618**	**122,070**	**137,806**	***149,390***	***165,864***	***180,296***
EQUITY & LIABILITIES						
Equity	63,609	73,680	82,865	*86,736*	*94,096*	*104,684*
Long-term debt	2,682	5,535	6,736	*7,313*	*10,083*	*10,440*
Short-term debt	1,975	2,343	1,640	*7,313*	*10,084*	*10,440*
Long-term liabilities	**9,345**	**13,824**	**23,227**	***23,804***	***26,574***	***26,931***
Current liabilities	**28,748**	**28,821**	**31,714**	***38,850***	***45,194***	***48,681***
Total liabilities & equity	**106,618**	**122,070**	**137,806**	***149,390***	***165,864***	***180,296***
CAPITAL STRUCTURE & RATIOS						
Net debt	-6,825	-2,516	-8,137	*-3,481*	*-1,415*	*-3,745*
Capital invested	51,868	65,419	74,728	*83,255*	*92,681*	*100,939*
Equity ratio	59.7%	60.4%	60.1%	*58.1%*	*56.7%*	*58.1%*
Gearing	-10.7%	-3.4%	-9.8%	*-4.0%*	*-1.5%*	*-3.6%*
Net debt / EBITDA	-0.6×	-0.2×	-0.8×	*-0.2×*	*-0.1×*	*-0.1×*
Current ratio	1.7	2	2.2	*1.9*	*1.7*	*1.8*

E = Valuatum estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — USD MILLIONS

	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
OPERATIONS						
Cash from operations (model)	10,553	3,171	3,691	*14,697*	*19,624*	*26,190*
Operating cash flow (Valuatum calculation)	3,263	1,868	2,616	*14,900*	*18,691*	*24,912*
Change in working capital	7,474	9,298	6,312	*118*	*-13*	*-12*
INVESTING & FREE CASH						
Gross capex	11,643	12,285	11,201	*19,354*	*21,690*	*23,859*
Capex (ex. M&A)	-11,643	-12,285	-11,201	*-19,354*	*-21,690*	*-23,859*
Cash after capex (CFO - gross capex)	**-1,090**	**-9,114**	**-7,510**	***-4,656***	***-2,066***	***2,331***
Free operating cash flow (Valuatum def.)	**-6,634**	**-8,791**	**-383**	***-4,454***	***-2,999***	***1,053***
Free cash flow to firm	**-6,632**	**-8,791**	**-383**	***-4,454***	***-2,999***	***1,053***
FINANCING						
CF from financing	8,306	8,594	8,285	*6,250*	*5,541*	*713*
Dividends paid	—	—	—	—	—	—
Net change in cash	**7,216**	**-520**	**775**	***1,594***	***3,475***	***3,044***

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, USD MILLIONS

	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	21,301	25,500	25,182	25,707	19,335	22,496	28,095	24,901
EBITDA	2,417	2,883	4,065	3,079	1,846	2,356	3,249	3,052
EBITDA margin	11.3%	11.3%	16.1%	12.0%	9.5%	10.5%	11.6%	12.3%
Comparable EBIT	1,171	1,605	2,717	1,583	399	923	1,624	1,409
EBIT margin	5.5%	6.3%	10.8%	6.2%	2.1%	4.1%	5.8%	5.7%
Net Earnings	1,405	1,416	2,183	2,332	420	1,190	1,389	856
EPS	0.4	0.4	0.7	0.7	0.1	0.4	0.4	0.3

CURRENT YEAR — QUARTERLY, USD MILLIONS

	Q1/26	Q2/26	Q3/26 *E*	Q4/26 *E*
Net Sales	22,387	28,236	*27,500*	*27,757*
EBITDA	2,531	398	*4,500*	*9,188*
EBITDA margin	11.3%	1.4%	*16.4%*	*33.1%*
Comparable EBIT	941	398	*3,000*	*1,333*
EBIT margin	4.2%	1.4%	*10.9%*	*4.8%*
Net Earnings	491	1,128	*1,483*	*769*
EPS	0.2	0.4	*0.5*	*0.2*

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER

	VALUE	CATEGORY	USED IN
Financial statements and forecast model	Valuatum Wisdom model 12823, snapshot period 2026	FINANCIAL SNAPSHOT	Financials, forecasts & valuation
Share-price history and market profile	Financial Modeling Prep, TSLA financialmodelingprep.com	MARKET DATA	Price chart & market facts
Tesla, Inc. Annual Report on Form 10-K for the Year Ended D...	ir.tesla.com/.../tsla-20251231-gen.pdf	OFFICIAL SOURCE	Reported segment table
The Delaware Supreme Court rein-states Elon Musk's 2018 equi...	vertexaisearch.cloud.google.com/.../AUZIYQHm6YXGYe1_X-ufIBXcg2JPaYI3B7hkxIr0JmPfrE-DcFOh7R9Tg4LzQSXk71Un9VQvPDRIGAotvOcoUnVIW8pP9AJXF0G0QPsS1WeTJuepfMUtKBnVbUw0oBdhbcxA2V9-In7HWDfwwBjcU6ahWYvn8z3ZG_9GASVSyjwo-IA2LpCBRN3R4qKaYowd9HAiFM7nNngf	OFFICIAL SOURCE	Research register
Volkswagen Group consolidated its position as the leading m...	www.motorfinanceonline.com/.../eu-car-registrations-decline-h1-2025-acea-report	OFFICIAL SOURCE	Research register
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Ford Model e reported a loss of $32,821 for every vehicle w...	vertexaisearch.cloud.google.com/.../AUZIYQFAymj_ucZIBo9IpQQPuI546nmB_P1JtxPoVLf6vpwrzeV_FKjO2DiUq3jmka6u7yIcu7QkQSvGX2W4c9WkfIvnz2z3GUEYZQ_Wtv5FWqp42G8tSmz9Af_sEmMkcZj_kvFrywn6g0swCia-dXDF1wUD6Cy23azmEVDkqbBBRF9m__6r-EITCNAr6K3zhRARNWZTH3SJ3w==	OFFICIAL SOURCE	Research register
Li Auto's vehicle margin fell sharply to 6.1% in Q1 2026, c...	vertexaisearch.cloud.google.com/.../AUZIYQF2w_bcD5hizmKwfqepBnRdEa8xSnJqTXZ6Xfft7_BiI7LZVv_U9d4tzR8QS341P4zOcMRPv_C9_XcGVKz9XU5bzJvec7ub6oSTLTwLk4CXBU5pzIkNG_WhF0Wv-xWY57UWFt94E7vqJdZKABSPJPdnhqs-GDL-PDOVqCgtStILUGvdJ30PyT9prNcPpFM=	OFFICIAL SOURCE	Research register